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What Is Forex? — Interactive Lesson

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Foundational • General public

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What Is Forex?

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An Introductory Interactive Lesson for the General Public

Lesson Goal

By the end of this lesson, you will be able to explain what forex is, why exchange rates change, who participates in the foreign exchange market, and why forex trading can be risky-especially for individual traders.

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1. The Big Idea

Forex is short for foreign exchange.

It is the global marketplace where one currency is exchanged for another.

If you have ever traveled internationally and exchanged U.S. dollars for euros, pounds, pesos, yen, or another currency, you have participated in foreign exchange.

Forex matters because countries, businesses, travelers, investors, and governments all need to exchange currencies to buy goods, pay workers, invest, borrow, lend, or travel across borders.

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2. Everyday Analogy: The Global Currency Swap

Imagine a giant international airport with currency exchange counters everywhere.

- A traveler from the United States wants euros.
- A business in Japan needs U.S. dollars to pay an American supplier.
- A European investor wants to buy British assets and needs pounds.
- A Canadian tourist needs Mexican pesos for a vacation.

Each person or organization is swapping one currency for another.

Now imagine this happening electronically, across banks, brokers, companies, governments, and traders around the world, almost 24 hours a day.

That is the forex market.

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3. What Is Being Traded?

In forex, people do not usually trade a single currency by itself.

They trade currency pairs.

A currency pair compares the value of one currency against another.

Examples:

Currency Pair	Meaning
EUR/USD	Euro compared with U.S. dollar
USD/JPY	U.S. dollar compared with Japanese yen
GBP/USD	British pound compared with U.S. dollar

| USD/CAD | U.S. dollar compared with Canadian dollar |

If you see:

EUR/USD = 1.10

That means:

1 euro costs 1.10 U.S. dollars.

So if you exchange 100 euros, you would receive about 110 U.S. dollars, before fees or spreads.

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4. Base Currency and Quote Currency

A currency pair has two parts:

EUR/USD

- EUR is the base currency
- USD is the quote currency

The exchange rate tells you how much of the quote currency is needed to buy one unit of the base currency.

So:

EUR/USD = 1.10

means:

1 euro = 1.10 U.S. dollars.

Quick Check

If USD/JPY = 150, what does that mean?

A. 1 Japanese yen equals 150 U.S. dollars
B. 1 U.S. dollar equals 150 Japanese yen
C. 150 U.S. dollars equal 1 Japanese yen

Answer: B. 1 U.S. dollar equals 150 Japanese yen.

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5. Why Do Exchange Rates Change?

Exchange rates move because the supply and demand for currencies change.

A currency may rise or fall based on many factors, including:

- Interest rates
- Inflation
- Economic growth
- Political stability
- Government debt
- Trade flows
- Central bank policies
- Investor confidence
- Global events and crises

For example, if investors believe the U.S. economy is strong and U.S. interest rates are attractive, demand for U.S. dollars may increase. That can make the dollar stronger relative to other currencies.

But exchange rates are influenced by many forces at once, so they can be difficult to predict.

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